Internal Audit Memorandum

To: Audit Committee
From: Priya Holloway, Head of Internal Audit
Date: September 18, 2026
Re: Accounts payable controls review

Summary

We reviewed accounts payable controls for the twelve months to June 30, 2026.[1] Controls were generally effective, but we found three weaknesses that need action this quarter.

Findings

- Duplicate vendor records: 212 of 4,180 active vendors appear more than once.[2]
- Approval limits are not enforced in the invoice workflow.
- Payment runs lack a second reviewer at two sites:
  - Dundee, since the departure of the deputy controller
  - Swansea, where no second reviewer was ever appointed

Exceptions by Quarter

The table below shows the exceptions we recorded in each quarter.

Exception type	**2026**		
	Q1	Q2	Q3
Duplicate payment	4	7	2
Missing approval	11	9	13
Late posting	23	18	16

Recommendations

1. Merge duplicate vendor records and block new duplicates at entry.
2. Enforce approval limits in the workflow system by December 31.
3. Appoint second reviewers at Dundee and Swansea within thirty days.

[1] Our scope excluded the newly acquired Dublin subsidiary.
[2] Matched on tax identifier and bank account number.